Practical Questions

1. Managers seek to:
   a. Increase the sales of their organization at any cost
   b. Maximize the potential of their people and coordinate their efforts towards organizational goals.
   c. Maximize their personal rewards while satisficing organizational goals.
   d. Sublimate organizational goals to subordinate goals.
2. The resources of a firm can be best described as:
   a. financial and nonfinancial
   b. profit and service
   c. equipment and intangible
   d. human and nonhuman
3. The traditional factors of production include all of the following except:
   a. management
   b. land
   c. labour
   d. capital
4. All of the following are basic management functions except:
   a. Planning
   b. Maximizing
   c. Organizing
   d. Controlling
5. The number of subordinates that should report to a specific manager is referred to as the:
   a. Span of organization
   b. Span of departmentalization
   c. Span of control
   d. Span of subordinate
6. Which of the following basic management functions is most directly affected by legal requirements and trends:
   a. Planning
   b. Organizing
   c. Leading
   d. Staffing
7. The “heart and soul” of management is:
   a. Organizing
   b. Leading
   c. Controlling
   d. Planning
8. The institution of a quality assurance system is most consistent with which of the following basic management functions?
   a. Planning
   b. Organising
   c. Controlling
   d. Leading

9. In the course of performing their day-to-day activities, managers:
   a. Spend as much, or more, time reacting as acting
   b. Are rarely concerned with all of the basic functions of management.
   c. Delegate their managerial responsibilities to subordinates
   d. Are only concerned with the controlling functions.
10. Which of the following management activities is best described as an interpersonal management role?
   a. Monitor
   b. Disseminator
   c. Negotiator
   d. Liaison
11. The level occupied by a particular manager is best determined by that manager's:
   a. Job title
   b. Age and experience
   c. Job duties and authority
   d. Experience and tenure with the firm
12. Which of the following managerial levels suffers most from "identify" problems?
   a. Supervisory management
   b. Top management
   c. Middle management
   d. Hierarchical management
13. Technical skills are most important at which of the following managerial levels?
   a. Top management
   b. Supervisory management
   c. Middle management
   d. Hierarchical management
14. Which of the following managerial skills are equally important at all managerial levels?
   a. Conceptual skills
   b. Technical skills
   c. Functional skills
   d. Human relations skills
15. The unique approach to management practiced by individual managers is described by which of the following terms?
   a. Style
   b. Substance
   c. Technique
   d. Tactics

Answer Explanations for Practice Examination

Refer to the page or pages that follow each answer for a further discussion of the answer.

1. The answer is b. The basic responsibility of management is to "get things done through people". An effective manager demonstrates to his or her subordinates the interrelationship of organisational and individual goals. By exerting their best efforts toward the

accomplishment of organisational goals, subordinates maximize their personal rewards. (CO 1, page 5).

2. The answer is c. The organisation's resources include such nonhuman entities as the plant and equipment, land, and financial resources it controls. The efficient utilization of these assets is dependent, however, upon the skills and knowledge of his employees – the human resources of the firm. (CO 1, page 5)
3. The answer is a. The traditional factors of production were limited to load, labour, and capital. Management is essential, however, to the effective utilization of these factors. (CO 1, page 6).
4. The answer is b. The basic managerial functions are planning, staffing, organizing, leading and controlling. Management .....
5. The answer is c. The span of control is affected by the level of the position, the nature of the duties related to that position, and the skills possessed by the superior and his or her subordinates. While there is no universal span of control, all managers are subject to a limit upon the number of subordinates they can supervise effectively. (CO 2, page 8)
6. The answer is d. The staffing function has been the target of vastly increased legal concern in recent years. The manager must be concerned with equal employment opportunity, alternative action requirements, and equal pay for equal work – and a growing variety of other staffing requirements mandated by law. (CO 2, page 9)
7. The answer is b. Leading the influencing of others in order to accomplish specific objectives, is the primary function of management. A manager who cannot lead cannot discharge the responsibilities of his or her position.
8. The answer is c. The function of any control system is to assure that performance meets expectations. A quality control system is intended to assure that specific standards are maintained in the production process. (CO 2, page 9)
9. The answer is a. As much as managers might like to spend their time in the performance of only the basic managerial functions, the realities of their job require that they devote a great deal of time responding to relationships and situations over which they have little, or no, control. (CO 2, page 10)
10. The answer is d. As a liaison, the manager represents the firm and its activities to the external communities it serves – or which exert influence upon it. In this role, the manager seeks to build and maintain favourable corporate images and relationships. (CO 4, page 12)
11. The answer is c. Job titles can be confusing. However, the level of a management position can be deduced by comparing the duties of that position, and the authority available to accomplish those duties, against the patterns associated with the three basic managerial levels. Authority may be the most critical criterion. (CO, page 14)
12. The answer is a. supervisory managers manage workers who perform the firm's most basic job duties required in the business. The empathy felt by such managers for the subordinates they supervise tends to create "identify" problems – the supervisor may feel that he or she is as much a worker as a managers. (CO 4, page 15)
13. The answer is b. In order to effectively supervise workers who perform the firm's most basic tasks, the supervisor must possess a high degree of those technical skills required for effective performance. In many cases, the supervisor was promoted to his or her management position from the labour force. (CO 5, page 18)

14. The answer is d. These skills are vital to conflict resolution, motivation, and communication. Since these activities are required at all managerial levels, human relations skills are equally important to all managers. (CO 5, page 18)
15. The answer is a. management style is the means by which the individual manager places his or her personal "stamp" upon the execution of the basic management functions performed by all managers. It typically results from a blend of personality, experience, and environmental factors. (CO 6, page 20)

Practice Examination 1-2

Read such statements or questions carefully and then choose the response that best completes the statement or question.

1. Management is best described as a:
   a. Autocratic force
   b. Unifying force
   c. Controlling force
   d. Conceptual force
2. All of the following are basic management responsibilities except:
   a. Organizing the factors of prediction
   b. Making business decisions
   c. Taking risks
   d. Eliminating risks
3. ...
4. Management of a system in which people can perform tasks that lead to desired results is at the heart of a:
   a. Planning
   b. Leading
   c. Organising
   d. Controlling
5. The importance of_____ is based upon the fact that an organisation's goals are accomplished using human resources.
   a. Staffing
   b. Organising
   c. Controlling
   d. Planning
6. ...activity is most closely associated with which of the following basic management functions?
   a. ....
   b. Controlling
   c. Leading
   d. Staffing
7. Which of the following interpersonal roles played by the manager does not involve significant decision making?
   a. ...
   b. ...

c. Spokesperson
d. Figurehead

8. A manager who recognizes problems and opportunities and initiates action that will move the organization in the right direction is acting as a(n):
   a. Disturbance handier
   b. Force allocator
   c. Entrepreneur
   d. Resource acquirer
9. ...levels of management described in the text comprise the management:
   a. ...
   b. Hierarchy
   c. System
   d. Strata
10. In management Hierarchy of a university, a dean is best described as a(n):
   a. ...
   b. ...
   c. Supervisor
   d. Middle manager
11. Which of the following statements is true?
   a. Management principles can be learned and applied
   b. Managers are born, not made
   c. Any firm succeed in spite of their management
   d. Management is nothing more than common sense.
12. ..., a comprehensive, fundamental law, doctrine, or assumption is called a(n):
   a. ...
   b. ...
   c. Hypothesis
   d. Principle
13. Which of the following types of skills are of greatest importance to top level managers?
   a. ..
   b. Human resources
   c. Conceptual
   d. Contiguous
14. ...recognized as the leader in management in management practice largely are result of the efforts of:
   a. ...
   b. Sir Stafford Cripps
   c. Frederick W. Taylor
   d. Sir Francis Drake
15. .....

Refer to the text pages that follow each answer for further discussions of the answers.

1. The answer is b. Management is charged with the responsibility of coordinating the human and hours of the firm. This is, essentially, a task of unification. (CO 1, page 5)

2. The answer is c. while management must be engaged in all of the other tasks listed (including the taking of risk) management cannot eliminate risk. Good managers well seek, however, to reduce risk when possible. (CO ...)
3. The answer is a. Planning occupies the position of primacy because it is the beginning point for all management action. Once goals and objectives have been planned, the manager engages in the other management functions required to accomplish those plans. Planning is a continuous activity. (CO 2, page 7)
4. The answer is c. the function of organizing requires the manager to create job positions and duties, autho porting relationships, and managerial spans consistent with the accomplishment of the goals of the organisation. (CO 2, page 8)
5. The answer is a. Staffing involves the recruitment, selection, development, and retention of employees with appropriate qualifications for positions created by the manger. The success of any organisation depends upon the quality of its employees. (CO 2, page 9)
6. The answer is b. The budget is employed to evaluate actual costs and compare these costs against desired standards. Variations from desired standards identify areas for cost reduction efforts or the need to set the budgeting expectations. (CO 2, page 10)
7. The answer is d. In the role of figurehead, the manager simply represents the ... Managers of these kind are purely ceremonial, some are highly visible but do not involve themselves in duty.
8. The answer is c. The manager may act as an entrepreneur by creating new products or projects, creating organizational structure or instituting other programs designed to improve company performance. ...
9. The answer is b. Generally, managerial levels form a “pyramid” bound together by authority-reporting relationships. The level occupied by a specific manager can generally be determined through an inspection of the duties assigned to that manager and the type and amount of authority available to the manager. (CO 4, page 13)
10. The answer is d. A dean has authority over managers below him or her level, departmental heads. However, the dean is subject to the authority of the university’s policy-making managers – its pro vice chancellors and vice presidents. (CO 4, page 14)
11. The answer is a. Managerial success depends on both a fundamental understanding of the principles of management and an understanding of technical, human and conceptual skills. In this regard, management is a skill that can be learned. The application of this knowledge is however ...
12. The answer is c. Management principles are ...The principles are, by nature, universal – but a skilled manager will not ...his or her organisation. (CO 5, page 18)
13. The answer is c. Top-level managers are charged ...
14. The answer is b. Sir Stafford Cripps, Britain’s first postwar chancellor of the exchequer, was so impressed with American management know-how that he sent productivity teams of British business people to America to study management. This action helped develop America’s reputation as the place to study management. (CO 5, page 20)
15. The answer is a. Managerial style is essentially the approach the manager applies to his or her job. Managerial style evolves from the blending of the manager’s personality with experience, organisational environment, and relationship between superiors and subordinates. (CO 6, page 22)

Sample Essay Questions

1. Planning is frequently cited as the most important of the basic management functions. Why?
2. Firms that promote from within are often disappointed with the performances obtained. Explain how a person who performed well at one level can fail to do so at a higher level.
3. Which management style is "best"? Defend your position.

Answers to Sample Essay Questions

1. Planning represents the beginning of management. The manager's primary responsibility revolves around the determination of the organization's goals and objectives. Once these plans have been made, management undertakes the organizing and staffing functions in order to procure the human and nonhuman resources required by the plan and provide a favourable organizational environment for their efficient operation. Leadership is directed toward the motivation of the organisation's human resources in activities necessary to the accomplishment of plans. The control function measures progress toward the accomplishment of plans and sets the stage for the next planning style. Planning is, then, a continual process that permeates all management activities. (CO 2, pages 7-8)
2. Each of the levels of management requires a slightly different "mix" of managerial skills – or features a different emphasis upon basic management functions. Managers may be quite proficient in the skill mix required by their current positions, but this does not necessarily mean that they can perform equally well in positions that require a different skill mix. Managers may, for example, excel at supervisory positions as a result of strong technical skills – but, fail in middle management due to relatively weak conceptual and human relations skills. In short, past performance at lower managerial levels is not a perfect predictor of success at higher levels of management requiring different skill mix. Candidates for internal promotion should be carefully evaluated with regard to possession of skills required by the new position prior to their promotion. Anything less is detrimental to the organization's efficiency – and unfair to the employee. (CO 5, page 13-19)
3. It is not possible to select one management style as "best" for all organizations under all circumstances. Management style is developed in as evolutionary fashion-resulting from a blend of the manager's personality, his ability, experience, and the types of relationships in which he or she has been involved. It is more productive... of the appropriate "fit" between the style of a particular manager and the needs of a particular organisation in a specific point in time. Some managers employ different styles according to the particular situations and/or ... with which they must deal. Management style is basically a tool used by the manager to achieve definite results. If the style is not effective, the manager should attempt to change it – if the manager cannot, or will discharge an inappropriate style, perhaps the manager must be replaced. (CO 6, page 20-22)

Practice Examination 2-1

Read each statement or question carefully and then choose the response that best completes the statement or answer to the question. Allow yourself 10 minutes for taking the text.

1. Scientific principles of management are emphasized most ... by the:
    a. Behavioural school of management

b. Classical school of management
c. Quantitative school of management
d. Emergency school of management

2. Which of the following ...
3. Which of the following classical management theorists first proposed the use of systematic factory studies to improve efficiency?
   a. Charles Babbage
   b. Frederick W. Taylor
   c. Frank Bunker Gilbreth
   d. Henry L. Gantt
4. The "father of scientific management" is generally considered to be:
   a. Charles Babbage
   b. Henri Fayol
   c. Frederick W. Taylor
   d. Henry L. Gantt
5. Scientific management provided insights that primarily benefited:
   a. Supervisory management
   b. Middle management
   c. Top management
   d. Workers
6. The single greatest contributor to the field of classical administrative theory was:
   a. Frederic W. Taylor
   b. Henry L. Gantt
   c. Harrington Emerson
   d. Henri Fayol
7. Fayol's division of work principles was based on:
   a. Authority
   b. Specialization
   c. Responsibility
   d. Unity of command
8. According to the principle of _____, a subordinate should receive direction from only one superior.
   a. Authority and responsibility
   b. Unity of direction
   c. Unity of command
   d. Centralization
9. According to Fayol, violation of the _____can be tolerated only when the welfare of the organization is at stake.
   a. Scalar chain
   b. Principle of initiative
   c. Principle of centralization
   d. Principle of unity of direction
10. Which of the following theorists is best known for his studies of the bureaucratic organization?
    a. Henri Fayol

b. Chester L. Barnard
c. Frederick W. Taylor
d. Henry L. Gantt

11. The origin of the behavioural school of management can be traced to the work of Elton Mayo and his:
    a. Western experiments.
    b. Productivity experiments.
    c. Hawthrone experiments.
    d. Effect experiments
12. Mayo's hypothesis that worker productivity was positively associated with observation of their efforts has been called the:
    a. Psychological effect
    b. Western Electric effect
    c. Observation effect
    d. Hawthorne effect
13. Linear programming, network analysis and queuing theory are primary tools of the:
    a. Quantitative school of management
    b. Modelling school of management
    c. Behavioural school of management
    d. Classical school of management
14. According to _____ there is different situations require different managerial approaches:
    a. Systems
    b. Behavioural
    c. Contingency
    d. "Z"
15. Which of the following strongly emphasizes traditional Japanese collective decision making and control mechanisms?
    a. Contingency theory
    b. Theory Z
    c. Systems theory
    d. Syncratic theory

Answer Explanations for Practice Examination 2-1

Refer to the text page or pages that follow each answer for a further discussion of the answer.

1. The answer is b. The classical school was built around the identification of the "one best way" to perform a task. In order to accomplish this goal, the activities of workers were closely monitored and analyzed. (CO 2, page 31)
2. The answer is d. Robert Owen was a successful businessman who concerned about the "evils of industrialism." Although he paid close attention to plant layout and machine maintenance, his primary concerns were related to worker welfare. (CO 2, page 32)
3. The answer is a. Long before Frederick W. Taylor, Babbage championed the idea that a manager could study the operations of a factory systematically to improve its efficiency. (CO 2, page 32)

4. The answer is c. Taylor gained wide recognition for the cause of scientific management through his writings and industrial successes. Testimony delivered by Taylor before a Special House Committee in 1912 provided still broader recognition and understanding of his concepts. (CO 2, page33)
5. The answer is a. scientific management principles were primarily aimed at discovery of the best way to accomplish basic production tasks. While worker productivity improved, these techniques provided little assistance to managers above the supervisory level. (CO 2, page 37)
6. The answer is d. The extensive scope and depth of Fayol's work earned him tehe title of "father of modern management theory". Fayol's work, unlike that of manay of his predecessors, could be appli4ed at all levels of management. (CO 2, page 38)
7. The answer is b. The utilization of specialization is necessary to assure greater effieciency and productivity. As workers become thoroughly familiar with all aspects of a particular task, they perform faster and more accurately. (CO 2, page 39)
8. The answer is c. According to Fayol, violation of this principle would undermine authority and jeopardize discipline and stability. Failure to adhere to this principle would also tend to create confusion and conflict. (CO 2, page 40)
9. The answer is a. The scalar chain, or chain of command, is the line of managers from highest to lowest in an organization. In order to preserve organizations integrity, all directives and requests should follow this formal route. (CO 2, page 40)
10. The answer is b. Barnard devoted his career to the intensive study to the formal organizations it spawns. Bureaucratic organizations were ideal subjects for his work as a result of their highly formal nature. (CO 2, page 41)
11. The answer is c. The Hawthrone studies conducted at Western Electric's Hawthrone, Illinois, plant focused attention on the productivity implications of sociological and psychological factors. The findings of this study encouraged many other researchers to evaluate and refine this ...
12. The answer is d. Mayol's hypothesized that workers worked harder and produced more simply because they know they were being observed. The Hawthrone effect has come under increasing criticism in recent years. (CO 3, page 43)
13. The answer is a. The quantitative school, by its nature, emphasizes the use of sophisticated mathematical techniques and models to simulate business problems. The tools cited that needs attention are three of the more concise simulation techniques used in this approach. (CO 4, page 47)
14. The answer is c. according to contingency theory, the "best" managerial approach is determined by the specific characteristics of each particular situation. This approach is in opposition to the traditional notion of the responsibility of management principles. (CO 5, page 48)
15. The answer is b. Theory Z is the name given to the "Japanese" blend of traditional culture and adaptation of management principles borrowed from other cultures. Since this approach was developed to fit Japanese culture, it should not be surprising to find that its techniques are less successful in other cultures. (CO 5, page 50)

Read each question or statement carefully, and then choose the response that best completes the statement or answers the question. Allow yourself 10 minutes for taking the test. Then check your answers in the Answer Key that follows.

1. The basic schools of management thought include all of the following except the:
   a. Contingency school
   b. Quantitative school
   c. Behavioural school
   d. Classical school
2. According to the _____ approach, the primary task of management was to find the one best way to perform any task and to train workers in that method.
   a. Contingency management
   b. Behavioural management
   c. Scientific management
   d. Quantitative management
3. Which of the following scientific management theorists is credited with developing the "daily balance chart" that was the forerunner of PERT?
   a. Henri Fayol
   b. Henry L. Gantt
   c. Frederick W. Taylor
   d. Frank Bunker Gilbreth
4. Frank and Lillian Gilbreth developed a system for analyzing hand movements based upon a group of seventeen discrete types of movements called:
   a. Micro-motions
   b. Microchronometers
   c. Gilbergs
   d. Therbligs
5. The term "efficiency engineering" was coined by:
   a. Henry L. Gantt
   b. Frederick W. Taylor
   c. Harrington Emerson
   d. Frank Bunker Gilbreth
6. According to Henri Fayol, anthority and responsibility:
   a. Depends upon subordinate acceptance
   b. Should be equal, or commensurate
   c. Must be centralized at the top of the organization
   d. Are synonymous
7. Fayol's deduced that the activities geared toward achieving the same objective is directed and controlled by a person is embodied in his principle of:
   a. Unity of structure
   b. Centralization
   c. Scalar chain
   d. Unity of direction
8. In addition to his analysis of the operation of formal and informal organizations, Chester I. Barnard is remembered for his:

a. Accepting the theory of authority
b. Refinement of the big analysis
c. Insistence upon centralization
d. Opposition to “functional” foremanship

9. According to Mary Parker Follet, the right to exercise authority:
   a. Was justified by organizational position
   b. Existed only at the top of the organisation
   c. Depended upon the situation
   d. Ultimately resided in the firm’s Board of Directors.
10. The “father of industrial psychology” was:
   a. Frederick W. Taylor
   b. Hugo Munsterberg
   c. Elton Mayo
   d. Douglas McGregor
11. Later review of the evidence accumulated in the Hawthrone studies indicated that productivity increases probably resulted from:
   a. Warm, friendly supervision
   b. Improved managerial skill in human relations
   c. Singling workers out for observation
   d. Incentive pay and better working conditions
12. Which of the following behaviourists is best known for his work in motivation?
   a. Abraham Maslow
   b. Douglas McGregor
   c. Kurt Lewin
   d. Jacob Moreno
13. Which of the following steps in the quantitative management approach to decision making is typically the most difficult?
   a. Developing the mathematical model
   b. Generating a solution
   c. Defining the problem
   d. Analyzing results
14. Which of the following quantitative techniques has the widest range of applications?
   a. Game theory
   b. Linear programming
   c. Sampling theory
   d. Probability theory
15. Which of the following recent management theories emphasizes the need for a manager to be able to see and understand the interrelationships of the different parts of the organization and how the organisation fits into its environment?
   a. Theory Z
   b. Systems theory
   c. Contingency theory
   d. Environment theory

Answer Explanations for Practice Questions 2-2

Refer to the text page or pages that follow each answer for a further discussion of the answer.

1. The answer is a. the contingency theory holds that the appropriate management style for any particular situation is dependent upon the unique dynamics of that situation. This approach is one of the later developments in management theory.
2. The answer is c. Scientific management emphasized the improvement of worker productivity is indicated by the methods used by employees on the workfloor.
3. The answer is b. The Gantt chart, as this device was also called, was a bar chart for planning and controlling which activities by scheduling work on the basis of time rather than quantity. This approach provided the direction for modern PERT analysis.
4. ...
5. ...
6. The answer is b. Authority was viewed as the right to give directions or to command action, whereas responsibility was the sense of responsibility that accompanied such rights. Authority should only be delegated to those who are willing to assume the commensurate responsibility that accompanies the right to command.
7. The answer is d. Fayol's insistence was based upon the recognition that unified direction was essential to coordination and the assurance that subordinate energies are effectively channelled.
8. The answer is a. According to Barnard, organizations are formed when several individuals agree to cooperate to achieve commonly desired goals. This "contract" is expanded to include the form of the organization and appropriate roles and activities of its members.
9. The answer is c. according to Foilett, authority was not based on organizational position, but the member's desires satisfy common goals. Cooperation, rather than coercion, was the key to effective leadership. Authority depended upon an individual's perceived competence to accomplish in a given situation.
10. The answer is b. Munsterberg, a German psychologist who studied the psychology of manufacturing environments, was especially interested in matching jobs with people and structuring the work environment so that workers could produce up to their potential.
11. The answer is d. Interviews conducted with participants some 12 years after the original study provided additional insights into the dynamics of the situation and revealed some methodological flaws that were previously unrecognized. As a result, it became clear that "traditional" factors had played a greater role in productivity increases than had been thought originally.
12. The answer is a. Although many theorists have been concerned with motivation, Maslow's work remains one of the most widely quoted in the field. The framework provided by this hierarchy of needs approach is useful for many types of analysis.
13. The answer is c. Problem definition is the most critical stage in the process as well since the usefulness of results depends upon a clearly and accurately stated problem. Problem definition must draw heavily upon managerial skills and intuition.
14. The answer is d. While most of the other tools are intended for rather specific applications, probability theory can be utilized in any situation in which risk and uncertainty are a concern.
15. The answer is b. Systems theory views the organization as an open system that affects, and is affected by, the in practice ...

Practical examination 5-1

2. A single-product/service firm may develop a single strategy, called a ---------- strategy, that encompasses its entire operation.

a. business-level
c. business-area
b. business wide
d. product/service-level

3. The values, beliefs, and guidelines that direct the firm's business activities comprise its:

a. grand strategy
c. corporate-level strategy
b. organizational purpose
d. organizational philosophy

4. Which of the following serves as the foundation for the planning process?

a. grand strategy
c. organizational mission
b. tactical planning
d. environmental statement

5. The apex corporation is careful to offer prices, and other types of satisfactions, that are developed specifically for the particular portion of the market it is seeking to attract. Apex is attempting to develop a market:

a.monopoly
c. strategy
b. niche
d. stratum

6. The single most important determinant of an organisation's success is probably its ability to:

a.produce large volumes of products economically

b. obtain patents for its innovations

c. discourage competitive entry

d. cope with a changing environment

7. Larger firms that can produce at lower costs than can smaller competitors are said to enjoy advantages associated with;

a. economics of scale

c. availability of substitute products

b. buyer bargaining power

d. intense rivalry

8. The Cyclops corporation owns both the sources of raw materials required for the production of its product and the distribution outlets needed for its sale. Cyclops will derive the benefits of:

a. horizontal integration

c. vertical integration

b. integrative marketing

d. monopolistic integration

9. The excello corporation, a major producer of packaged products, is preparing to enter the clothing market. This venture is best described as an example of:

a. retrenchment

c. liquidation

b. divestiture

d. diversification

10. Which of the following strategies focuses on providing a product or service that consumers consider unique?

a. differentiation

c. divestiture

b. diversification

d. distraction

11. Under a ---------- strategy, a standardized product is produced as economically as possible.

a. differentiation

c. liquidation

b. niching

d. least-cost

12. Product differentiation exist when:

a. there is a price difference between two products

b. products are sold in different kinds of stores

c. consumers believe there is a difference between a product and all competitive offerings

d. products are physically different

13. The characteristic philosophy of an organization is best described by which of the following terms?

a. organizational climate

c. organizational bias

b. organizational culture

d. organizational strategy

14. Once a strategic plan has been developed and implemented, management is primarily concerned with:

a. evaluation and control activities

b. divestiture decisions.

c. activities designed to favorably manipulate the environment

d. activities intended to gain governmental approval of corporate programs

15. Approximately ---------- percent of all small business organizations develop and implement strategic plans.

a. 90

c. 25

b. 75

d. 10

Practical examination 5-2

1. Operational plans are

a. business-level strategies.

b. a form of administrative plan

c. specific departmental plans

d. not required if a firm has carefully developed its grand strategy

2. The first step in a strategic planning process requires the firm to:

a. establish specific objectives

c. identify opportunities

b. analyze its environment

d. formulate a corporate mission

3. The ---------- strategy is a long-term, comprehensive strategy of firms that offer diverse product lines or are comprises of several unrelated operations.

a. corporate - level

c. mission

b. differentiated

d. purpose

4. The firm's ---------- defines the activities it intends to perform and the kind of organization it intends to be.

a. organizational philosophy

c. organizational purpose

b. tactical strategy

d. organizational niche

5. The company's mission is made tangible and measurable through

a. tactics
c. strategies
b. objectives
d. policies

6. The key to business success lies in

a. implementing the correct strategy at the correct time
b. astute diversification.
c. achieving sufficient size to benefit from economics of scale
d. astute niching

7. Porter stressed the need of analyzing all of the following environmental areas except:

a. threat of new entrants
c. threat of regulation
b. bargaining power of buyers
d. threat of substitute products

8. The nso corporation has just purchased the facilities of its major competitors. This action is an example of

a. vertical integration
c. integral integration
b. differentiation
d. horizontal integration

9. The mega corporation was created through the merger of two firms. This merger, which was undertaken the advantage of the strengths of each of the participants, is an example of:

a. a divestiture
c. a retrenchment
b. a joint venture
d. a liquidation

10. A firm that sells off its business in order to avoid bankruptcy is following a:

a. niche strategy
c. liquidation strategy
b. least cost strategy
d. diversification strategy

11. Under a ---------- strategy, a firm sells off one of its major divisions.

a. diversification
c. liquidation
b. diverstiture
d. niche

12. Under the ---------- approach, the product is targeted to a particular group of customers.

a. niche

c. economies of scales

b. least-cost

d. divestiture

13. The nso corporation consistently favours strategies that minimize the chance of financial loss. Nso may be

a. risk-smoking

c. following a strategy of preferred risk

b. riskless

d. risk-averse

14. All of the following measurement are used to aid management in assessing the firm's performance except:

a. return on investment

c. changes in management strategies

b. growth rates

d. changes in market shares

15. Small firms do not engage in strategic planning for all of the following reasons except:

a. small business managers feel they do not have the time required for systematic planning.

b. small business simply do not have the financial resources required for such efforts.

c. strategic planning is unfamiliar ground for most small business managers.

d. small business managers do not like to seek the advice of others.

Practical examination 6-1

1. Procedures are most useful for which of the following types of decisions?

a. nonprogrammed decisions

c. partially structured situations

b. programmed decisions

d. nonroutine decisions

2. In a(n) ---------- situation, the manager has a great deal of data available, but the final choice is not obvious.

a. well-structured

c. fully-structured

b. ill-structured

d. partially structured

3. Beth coleman is preparing to make one of the most important decisions of her career. She will begin by

a. formulating goals

b. evaluating the decision situations

c. analyzing alternatives

d. determining results

4. Bob smith is well known in his organization for his ability to consider a large number of alternatives simultaneously and "jump" from one stage in the decision to another. Bob can be best described as a(n):

a.scientific decision maker

c. intuitive decision maker

b. analytic decision maker

d. systematic decision maker

5. Decisions under ---------- are those in which the external conditions are identified and very predictable.

a. certainty

c. uncertainty

b. risk

d. probability

6. A graphic display of all alternatives available to a manager can be presented through the use of a decision:

a. map

c. tree

b. chart

d. circuit

7. The Nso corporation is a highly conservative firm that always seeks to choose the "least cost" alternative in any decision situation. Which of the following types of decision making is Nso most likely to use?

a.maximia

c. maximax

b.minimax

d. regret

8. The loss that a manager suffers because he or she does not know the future at the time the decision must be made is called:

a. minimax

c. miniloss

b. opportunity risk

d. regret

9. All of the following are advantages of group decision making except:

a. groups are more creative than individuals.

b. groups tend to make more "correct" decisions

c. groups are more willing to take risks

d. groups bring more information to the decision-making task

10. The most accurate decisions are made by groups that contain ---------- members.

a. 2 to 5

c.5 to 11

b. 10 to 15

d. 12 to 20

11. The president of acme corporation often uses a group approach to deal with important, but nonrecurring, issues requiring high-level problem solving. This group is best described as a(n):

a. informal committee

c. formal committee

b. ad hoc committee

d. standing committee

12. Which of the following is the most compelling reason for using a committee to solve a problem?

a. committee provide a check on authority

b. committees can represent special interest groups

c. committees improve motivation/morale

e. committees can provide a broad range of opinions on how to solve a problem

13. The ability to revise what is known in order to produce new forms and patterns is called:

a. transformation

c. demystification

b. divergent production

d. synergism.

14. The ability to generate numerous alternatives for accomplishing an objective is called:

a. fishbowling

c. didactic interaction

b. brainstorming

d. synectics

15. The process by which a manager places limits on a decision is called:

a. bounded rationality

c. vested interest optimisation

b. departmental organization

d. suboptimisation

Practice examination 6.2

1. Which of the following types of decisions are used to solve nonrecurring problems

a. partially structured decisions
c. programmed decisions
b. nonprogrammed decisions
d. procedural decisions

2. Repeated resolutions with the same data will yield the same results in a(n)

a. partially structured decision
c. repetitive decision
b. ill-structured decision
d. programmed decision

3.